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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

We Are Miles Away From the Fed's Inflation Target

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Last Week's S&P 500 Index:
-1.4%

Key Takeaways

» *Two years ago the Federal Reserve (Fed) stated that its preferred inflation gauge, "core" Personal Consumption Expenditures, or PCE, would move to the 2 percent level in the intermediate term. At the time core PCE post a 1.2 percent gain in the prior 12 month period.*

» *Fast forward to today and the latest core PCE reading showed a 1.5 percent gain in the 12 months through June. It has taken two years for this closely watched indicator to move barely higher. Equity investors are paying attention.*

As the debate surrounding the pace of Fed interest rate hikes through 2018 continues, equity investors are focused on one of the major factors influencing this decision—the level of inflation. For years, Fed governors have told us they "are reasonably confident that inflation will move back to its 2 percent objective over the medium term." However, based on a large amount of recent economic data, that just has not been the case. In fact, it would be reasonable to argue that the United States is experiencing another bout of softer inflation.

Many investors would beg to differ. This strategist has talked to dozens of investors over the past 12 months that believe the inflation rate is moving higher, not lower. But the data thus far this year do not support that opinion. Let's just say that if you are putting kids through college or paying real estate taxes, you are likely a disbeliever in the disinflation viewpoint. Most of us are aware that the cost to attend college has been rising far faster than the general rate of inflation. (Just to rub it in, note that this strategist recently paid his last college tuition bill and couldn't be happier about it.) And in terms of real estate taxes, in many parts of the country, investors are telling us their taxes are higher than they have ever been.

But, as Chairwoman Janet Yellen has told us many times, the Fed is looking at something called PCE, as its go-to inflation gauge. Remember, the Fed is targeting a 2 percent "core" inflation rate. Core inflation excludes the effects of food and energy. The Fed looks at core inflation because commodity prices are volatile and often influenced by weather patterns and other seasonal factors that make them less responsive to monetary policy initiatives. PCE is an inflation gauge geared toward individuals and what they actually consume. It is different from the Consumer Price Index (CPI) mostly because of the way health care and housing costs are measured. The latest core PCE reading showed an increase of just 1.5 percent over the 12 months through June.

As discussed numerous times over the years in this publication, the Fed wants to see prices increase at a modest rate. While many consumers would welcome lower prices for purchased goods and services, they do not like to see the value of their house or stock portfolio fall. Generally falling prices, or outright deflation, also tends to lead to declining wages. This strategist would argue that the only thing central bankers fear more than high inflation is deflation. However, our analysis suggests U.S. inflation will continue to be modest in the intermediate term.

In a typical cycle, the economy and inflation generally respond to monetary policy. Historically when fed fund rates are lowered, growth perks up, and rising inflation tends to follow. But that did not happen in this cycle. In the wake of the bursting of a gigantic credit bubble, driven by housing, the economy has not been able to break out of a modest-growth pattern. PCE moving up to 2 percent may not sound far away, but we are miles from the Fed's inflation target. We believe this will influence the Fed's upcoming monetary decisions. Stocks will be paying attention.

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